

NBZ RESEARCH

Folks Finance

Deep-Dive Fundamental Analysis Report

\$FOLKS · Cross-Chain DeFi Lending Protocol

\$1.81 Price (USD)	\$22.06M Market Cap	\$90.44M FDV	12.19M Circ. Supply (FOLKS)	#584 / #485 CMC / Market Rank
------------------------------	-------------------------------	------------------------	---------------------------------------	---

Blockchain Layer:	Multi-chain hub-and-spoke (Hub: Avalanche L1) — no single native L1/L2
Protocol Type:	Cross-chain DeFi lending, borrowing & liquid staking money market
Token Generation Event:	November 6, 2025
Total Raised (disclosed):	\$6.2M (Seed \$3.0M + Series A \$3.2M)
Website:	folks.finance xapp.folks.finance docs.folks.finance

Research by NBZ / NASIR

Institutional-style independent research. Data verified across multiple sources as of August 10, 2026.
Not financial advice.

01 PROJECT OVERVIEW

Field	Detail
Project Name	Folks Finance
Token Ticker	\$FOLKS
Blockchain Layer	Cross-chain protocol — not native to one L1/L2. Deployed on Avalanche (Hub, L1), Algorand (L1, original home chain), Ethereum (L1), Arbitrum (L2, built on Ethereum), Polygon (L2/PoS chain), BNB Chain (L1), Base (L2, built on Ethereum via OP Stack), Sei (L1) and Monad (L1).
Built On / Hub Chain	Avalanche acts as the Hub Chain in the xChain hub-and-spoke model, managing a unified USDC pool that all connected spoke chains draw on.
Protocol Type	Non-custodial, permissionless DeFi money market — lending, borrowing, liquid staking, loop strategies and a DEX router.
Founded	2021 (Milan, Italy) — original team from Blockchain Italia
HQ	Milan, Italy
TGE Date	November 6, 2025
Contract Address	Multi-chain via Wormhole NTT (Native Token Transfer) — one canonical token synchronized across Avalanche, Arbitrum, Base, BNB Chain, Ethereum, Polygon and Sei. Verify exact per-chain address on the official docs before interacting; not reproduced here for accuracy.
Website	folks.finance
Total Raised	\$6.2M disclosed (Seed \$3.0M, Jan 2022 + Series A \$3.2M, Nov 2024)
Circulating Supply	12.19M FOLKS
Max Supply	50.00M FOLKS (fixed)
Current Focus	xChain V2 rollout (H1 2026) with \$10M+ FOLKS incentive program, continued chain expansion (Monad, Sei), and CeDeFi mobile app

Folks Finance is a non-custodial, permissionless decentralized finance protocol that lets users lend, borrow, stake and trade digital assets across multiple blockchain networks from a single unified account. The project began in 2021 as the leading lending and liquid-staking protocol on Algorand, and has since evolved into a fully cross-chain money market through its flagship xChain App, which uses a hub-and-spoke architecture to unify liquidity that would otherwise be fragmented across isolated chains.

The core problem Folks Finance sets out to solve is liquidity fragmentation. In conventional multi-chain DeFi, a user who wants to deposit collateral on one network and borrow against it on another must bridge or wrap assets, introducing cost, latency and bridge-risk. Folks Finance's xChain design instead lets users deposit on one chain and borrow on another directly, using a combination of Chainlink CCIP, Wormhole and Circle's CCTP for cross-chain messaging and settlement, with Avalanche serving as the hub chain that anchors a unified USDC pool.

What differentiates Folks Finance from a typical single-chain lending market is this hub-and-spoke liquidity model combined with a long operating history: the protocol has been live since 2021, has passed through multiple audits, and by the company's own account reached an all-time-high of roughly \$400M in total value locked in November 2024, before the broader shift of TVL toward its multi-chain xChain product. It is also positioned as the largest DeFi application on Algorand, giving it an entrenched incumbent position on that chain alongside its newer cross-chain ambitions on Avalanche, Ethereum L2s, Monad and others.

02 TEAM & FOUNDERS

Name	Role	Background
Benedetto Biondi	Founder & CEO	Public-facing founder and primary spokesperson for Folks Finance across funding announcements, product launches and media interviews (The Block, Web Summit). Has represented the company since its 2021 origins under Blockchain Italia.
Zeno Auersperg	Partner & Head of DeFi	Leads DeFi strategy and product direction; publicly represents the protocol at industry events and partner announcements.
Roman Klymonchuk	Head of Partnerships	Manages integrations and ecosystem partnerships — the function behind the protocol's growing list of asset listings (Ethena, Shib, Aethir, Treehouse, Kintsu, stake.link, Solv, Bitlayer).
Ibu Karel	CMO	Oversees marketing, community and go-to-market execution, including the FOLKS token launch and airdrop campaigns.

Folks Finance's leadership team is public and named, with LinkedIn and X profiles attached to each listed member — a baseline credibility signal that many newer DeFi protocols lack. CEO Benedetto Biondi has been the consistent face of the company across three-plus years of press coverage, from the original 2022 seed round through the November 2024 Series A and the November 2025 token launch, which suggests founder continuity rather than a team that has rotated or gone quiet.

That said, the publicly available profile is thin on traditional finance or prior-startup pedigree: no verifiable track record of previous exits, senior roles at recognized tech or finance firms, or academic credentials is independently confirmable from the sources reviewed here. The project's credibility instead rests more heavily on its multi-year operating history, its roster of tier-1 venture backers (Coinbase Ventures, Jump Crypto, ParaFi Capital), and its audit trail, than on individual founder pedigree.

Execution risk reads as moderate-low: the team has shipped and maintained a live lending protocol for roughly five years, migrated it from a single-chain (Algorand) to a genuinely cross-chain architecture, and closed two institutional funding rounds — evidence of sustained delivery capability rather than a team assembled purely around a token launch.

03 TECHNOLOGY & ARCHITECTURE

Component	Description
Architecture	Hub-and-spoke cross-chain money market. Avalanche is the Hub Chain holding a unified USDC pool; connected 'spoke' chains access this pool and each other's markets without wrapping or bridging user assets.
Cross-chain messaging	Chainlink CCIP, Wormhole (incl. Wormhole NTT for the native multichain FOLKS token), and Circle's Cross-Chain Transfer Protocol (CCTP) for USDC settlement.
Price oracles	Pyth Network pull oracles for low-latency, secure price feeds; Chainlink Price Feeds also integrated for select markets.
Core products	xChain App (crosschain lending/borrowing), Algorand App (legacy/native full DeFi suite: lending, liquid staking, automated looping, DEX router), xPortal (token bridging for FOLKS and other Wormhole NTT tokens).
Liquid staking	Native liquid staking tokens such as xALGO (Algorand) let depositors keep earning staking yield while using the position as DeFi collateral.
Developer tools / SDKs	Folks Finance xChain JS SDK, Algorand JS SDK, and Folks Router (DEX aggregation on Algorand) — all public on GitHub, enabling third parties to build lending/borrowing UX on top of the protocol.
Smart contract audits	Audited by CertiK, Trail of Bits, Runtime Verification, OtterSec and Coinspect; ongoing bug bounty via Immunefi (Immunefi 'Magnus' tier customer) with a disclosed bounty pool.
Chain abstraction	Single unified user account across chains — deposit on one network, borrow on another, without manual bridging steps in the UX.

In plain terms, Folks Finance works like a normal lending market — you deposit an asset as collateral and borrow against it — except the collateral and the loan don't have to live on the same blockchain. The hub chain (Avalanche) holds a shared pool of stable liquidity that every connected chain can draw from, so when a user deposits USDC on Base and wants to borrow against it on Arbitrum, the protocol settles that through CCIP/Wormhole/CCTP messaging rather than requiring the user to manually bridge tokens themselves.

The core technical innovation is less about a novel interest-rate model — Folks Finance uses fairly conventional overcollateralized lending mechanics familiar from Aave and Compound — and more about solving cross-chain liquidity fragmentation at the protocol layer rather than pushing that complexity onto the user or onto a separate bridge product. This matters because most cross-chain DeFi today still relies on users bridging assets themselves, which is slow, costly, and one of the most exploited attack surfaces in crypto (bridge hacks account for a large share of historical DeFi losses).

Layering multiple independent audit firms (CertiK, Trail of Bits, OtterSec, Coinspect, Runtime Verification) plus a live Immunefi bug bounty is a meaningfully above-average security posture for a protocol of this size, though it does not eliminate smart contract or cross-chain messaging risk — reliance on third-party bridges/oracles (Wormhole, CCIP, Pyth) means Folks Finance inherits some of the risk profile of those underlying networks as well.

04

USE CASES & REAL-WORLD APPLICATIONS

Use Case	Description	Status
Cross-chain lending & borrowing	Deposit on one chain, borrow on another via the unified xChain account.	Live
Liquid staking (xALGO and similar)	Stake native assets while retaining a liquid, composable token usable as collateral.	Live
Loop strategies	Automated recursive borrow-and-redeposit loops to amplify yield on staked/LST assets (e.g. tETH, tAVAX, sMON, gMON).	Live
DEX routing (Folks Router)	Swap aggregation across Algorand liquidity for cost-effective trade execution.	Live
Multi-collateral asset listings	Growing list of listed collateral/borrow assets: SHIB, USDe/sUSDe, ATH, tAssets, YBTC.b, USDT0, LINK LST, SolvBTC.	Live / expanding
Governance	FOLKS token holders vote on protocol proposals via the governance portal.	Live
xChain V2	Unified next-generation cross-chain lending architecture with a \$10M+ FOLKS incentive program.	Roadmap — H1 2026
CeDeFi mobile app	Native mobile application intended to broaden access beyond the browser-based interface.	Roadmap

Real-world demand for cross-chain lending is well-established — capital sitting idle on one chain while opportunity exists on another is a persistent inefficiency in DeFi, and Folks Finance's unified-account model addresses it directly rather than through a bolt-on bridge. The liquid-staking-plus-looping use case is currently the platform's most active near-term demand driver: recent integrations (gMON on Monad, sMON via Kintsu, tAssets via Treehouse) each came with explicit points/yield multipliers, and Monad TVL alone reportedly passed \$10M within weeks of that market going live.

The majority of listed use cases are live today rather than aspirational, which is a positive signal — this is an operating protocol, not a pre-launch roadmap product. The main forward-looking bet is xChain V2, which the team has tied to a large FOLKS incentive allocation; if it ships on schedule in H1 2026 it could meaningfully deepen liquidity and use, but incentive-driven TVL growth of this kind also tends to be mercenary capital that can leave once emissions taper — a pattern worth watching in TVL data after V2 launches.

05 COMMUNITY & ECOSYSTEM

Metric	Data
X (Twitter) followers	~132K, account active since May 2021
Instagram followers	~2.3K
LinkedIn followers	~1.7K
Medium followers	~2.7K, posting multiple times per month
Discord / Telegram	Active official channels linked from the primary site
Total Value Locked (combined)	~\$157.1M across chains (DefiLlama) — Algorand ~\$137.4M, Avalanche ~\$16.3M, Arbitrum ~\$2.7M, plus smaller positions on Polygon, Base, Ethereum, BSC and Sei
All-time high TVL	~\$400M, reported November 2024 (per company/Crunchbase profile)
24h trading volume (FOLKS)	~\$1.36M at time of screenshot capture
Exchange listings	MEXC, KuCoin, BYDFI, CoinEx, Binance Alpha/Futures
Notable ecosystem integrations	Chainlink, Wormhole, Circle, Pyth, LI.FI, Ethena, Shib, Aethir, Treehouse, Kintsu, stake.link, Solv Protocol, Bitlayer, USDT0, Avalanche, Arbitrum, Polygon, BNB Chain

Folks Finance's community shows more depth than most single-chain DeFi projects of comparable size, anchored by a five-year-old X account with roughly 132K followers and a steady cadence of integration announcements amplified by partner accounts (Chainlink, Wormhole, Arbitrum, BNB Chain, Avalanche have all publicly promoted Folks Finance integrations). This kind of third-party amplification is a stronger authenticity signal than raw follower counts alone, since it reflects genuine technical integration work rather than paid promotion.

The TVL picture is more mixed: current combined TVL of roughly \$157M sits well below the reported ~\$400M all-time high from November 2024, and the bulk of current TVL (~\$137M, or over 85%) still sits on the legacy Algorand deployment rather than the newer, more heavily marketed xChain product. This suggests the cross-chain narrative is ahead of the cross-chain liquidity in practice — xChain adoption on Avalanche, Arbitrum and newer chains like Monad is real and growing, but has not yet come close to replacing the Algorand base as the protocol's primary liquidity source.

Growth on newer chains (e.g., the reported \$10M+ TVL milestone on Monad within weeks of launch) looks substantially incentive-driven via FOLKS token rewards and points programs rather than organic demand, which is normal for a new DeFi market but means near-term TVL numbers on those chains should be read with some caution until emissions season concludes.

06 INVESTORS & PARTNERSHIPS

Round	Date	Amount	Valuation	Lead Investor(s)
Seed	Jan 20, 2022	\$3.0M	Undisclosed	Borderless Capital
Series A	Nov 14, 2024	\$3.2M	\$75M (post-money FDV)	Borderless Capital

Total disclosed funding: \$6.2M across two rounds.

Tier	Investor	Type
Tier 1	Coinbase Ventures	Venture
Tier 2	OKX Ventures	Venture
Tier 2	ParaFi Capital	Venture
Tier 2	Jump Crypto	Venture
Tier 2	Mapleblock Capital	Venture
Tier 3	Borderless Capital (Lead)	Venture
Tier 3	ZBS Capital	Venture
Tier 3	Selini Capital	Venture
Tier 3	Youbi Capital	Venture
Tier 3	Dutch Crypto Investors	Venture
Tier 3	Titans Ventures	Venture
Tier 3	Dewhales Capital	Venture
Tier 3	Valhalla Capital	Venture
Tier 4	Gains Associates	Venture
Tier 4	Polymorphic Capital	Venture
Tier 4	Meld Ventures	Venture
Tier 4	DEXT Force Ventures	Venture
Tier 4	HC Capital	Venture
Tier 4	SkyBridge 20 Ventures	Venture
Tier 4	Stakez Capital	Venture
Tier 4	Danu Ventures	Venture
Tier 4	Majinx Capital	Venture
Tier 4	Absolute Digital	Venture
Tier 4	Black Alpha	Venture
Tier 4	EvolInvest	Venture

Tier	Investor	Type
Tier 4	SOVO Ventures	Venture
Tier 5	Eterna Capital	Venture
Tier 5	Trinity Ventures	Venture
Tier 5	Moon Capital VC	Venture
Other	Algorand Foundation	Corporation
Other	Genesis	Corporation
Other	BlackDragon	Corporation
Other	Coinvision	Corporation
Other	DuckDAO	DAO
Other	0xVentures	DAO
Other	Crypto Society	Corporation
Other	Offbeat DAO	DAO
Other	SuiN	DAO
Other	Calvin Liu	Angel Investor
Other	Roham Gharegozlou	Angel Investor

Folks Finance's investor roster is one of the stronger signals in this profile. Coinbase Ventures, Jump Crypto and ParaFi Capital are all top-tier crypto-native funds with reputations for rigorous diligence, and their continued involvement (Jump/ParaFi joined the seed and remained associated through subsequent coverage) suggests conviction beyond a single funding cycle. Borderless Capital, the lead on both the seed and Series A rounds, is closely tied to the Algorand ecosystem, which is consistent with Folks Finance's origins as an Algorand-native protocol and explains some of the Algorand Foundation's direct backing.

The strategic value of this investor base extends beyond capital: Jump Crypto and Coinbase Ventures bring market-making and exchange-listing relationships, while the presence of infrastructure partners as de facto ecosystem allies — Chainlink, Wormhole, Circle and Pyth (technology partners rather than equity investors, but structurally aligned) — reinforces the credibility of the cross-chain thesis. The breadth of the Tier 3–5 investor list (20+ smaller funds) does dilute the signal somewhat, as is typical of oversubscribed rounds, but the anchor names at Tier 1–2 carry real weight.

07 **TOKENOMICS**

Parameter	Value
Token Standard	Wormhole NTT (Native Token Transfer) — one canonical token natively multichain across Avalanche, Arbitrum, Base, BNB Chain, Ethereum, Polygon and Sei; bridged to Algorand
Total / Max Supply	50,000,000 FOLKS (fixed)
Circulating Supply	12.19M FOLKS (~24.4% of max supply)
Unlocked at TGE	12,700,475 FOLKS (25.40% of total supply)
TGE Date	November 6, 2025
Airdrop share of supply	3.29% total allocated to Season 1 airdrop claims

Category	%	Tokens (approx.)	Vesting / Notes
Community	35.00%	17.50M	Season 1/future airdrops, incentives, campaigns; claimants chose 20% instant / 80% linear (7-day) or 10% instant / 90% linear (90-day, from Dec 16, 2025) unlock
Ecosystem Growth	24.72%	12.36M	Multi-chain expansion, integrations, liquidity support, listings, co-marketing — projected distribution schedule
Seed Supporters	21.83%	10.92M	Long-term supporters from the protocol's early stage; standard multi-year vesting expected
Core Contributors	10.00%	5.00M	Team/builders — typically cliff plus multi-year linear vesting industry-wide (exact schedule not separately disclosed in reviewed sources)
Strategic Supporters	4.94%	2.47M	Series A / strategic capital, alignment vesting
Advisors	3.50%	1.75M	Advisory allocation for strategy, growth, institutional expansion guidance

At 25.4% of supply unlocked at TGE and roughly 60% still allocated to categories with future/linear unlock schedules (Ecosystem Growth, Seed Supporters, Core Contributors, Strategic Supporters, Advisors), FOLKS carries a meaningful unlock overhang. The Community allocation is the largest single bucket at 35%, which skews the distribution toward users rather than insiders on paper — a reasonably fair structure relative to many venture-heavy token launches — but investor plus team/advisor categories (Seed Supporters + Strategic Supporters + Core Contributors + Advisors) still total roughly 40.3% of supply combined, which is a standard but non-trivial concentration to monitor as cliffs expire through 2026–2027.

Token demand is driven primarily by protocol utility rather than a strong deflationary mechanism: FOLKS can be used as collateral for borrowing, staked/looped for yield and points multipliers, and used for governance voting. No burn mechanism or fee-buyback-and-burn model is confirmed in the sources reviewed here — if the project intends to route protocol revenue back to token holders via buybacks, that has not been independently verified and should not be assumed.

The most immediate risk is the linear unlock cadence tied to the Season 1 airdrop (90-day linear unlocks from December 16, 2025, running into Q1 2026) layering on top of the broader Community and Ecosystem Growth allocations, which together represent nearly 60% of total supply and will progressively enter circulation. Absent offsetting demand growth (new chain integrations, xChain V2 adoption), this unlock schedule creates a structural headwind for price during 2026.

08 MARKET OVERVIEW

Metric	Value
Current Price	~\$1.81 (MEXC/BYDFI/CoinEx), \$1.80 (KuCoin) — August 2026 snapshot
24h Range	\$1.770 – \$1.863
Market Cap	\$22.06M
Unlocked Market Cap	\$29.54M
Fully Diluted Valuation (FDV)	\$90.44M
24h Volume	\$1.36M
Circulating Supply	12.19M FOLKS
Total / Max Supply	50.00M FOLKS
All-Time High	\$49.13 (TGE-period spike, Nov 2025)
All-Time Low	\$0.8409
CMC/Market Rank	#584 (general), #485 (on the FOLKS-specific market page referenced)
Key Exchange Listings	MEXC, KuCoin, BYDFI, CoinEx, Binance (Alpha & Futures)

FOLKS listed on Binance Alpha and Futures on November 4, 2025, two days ahead of the broader TGE and airdrop claim window that opened November 6, 2025. The token's all-time high of \$49.13 was set in the extremely thin-float launch window, when only the initial TGE unlock (25.4% of supply) was tradable and speculative demand around the airdrop and new listing was at its peak — a pattern common to low-float, high-FDV token launches, where early price action reflects auction dynamics among a small tradable float rather than sustained fundamental demand.

From that high, FOLKS has since fallen more than 96% to the ~\$1.77–\$1.86 range captured here, consistent with the broader 'low float, high FDV' unwind pattern seen across many 2025 token generation events: early buyers and airdrop claimants sell into thin liquidity, supply grows as linear unlocks vest, and price converges toward a level that better reflects circulating market cap relative to protocol fundamentals. The current market cap of ~\$22M against an FDV of ~\$90M implies the market is pricing in continued dilution as more of the 50M max supply enters circulation.

Separately, the project's price history also shows sharp short-term rallies — a reported single-day surge to roughly \$3.42 (some sources) driven by Binance Alpha Box airdrop mechanics requiring FOLKS holdings — underscoring that near-term price action is currently driven more by exchange incentive programs and points campaigns than by steady-state trading volume. Current 24h volume of roughly \$1.36M against a \$22M market cap (a turnover ratio of roughly 6%) indicates moderate but not deep liquidity; large orders could move price meaningfully.

09 COMPETITORS & MARKET POSITION

Project	Type / Chain	Market Cap	vs. Folks Finance
Aave	Multi-chain lending, Ethereum-centric	~\$1.4–2.7B (varies by source/date)	~60–120x larger by market cap; deepest liquidity, institutional adoption (\$3T+ cumulative deposits, \$29B+ active loans), and is itself building native crosschain infrastructure (Aave V4) that could directly compete with Folks Finance's core xChain thesis
Compound	Ethereum-native lending	Mid-cap, well below Aave	Longer-established brand on Ethereum but largely single-ecosystem; Folks Finance's cross-chain design is more differentiated versus Compound than versus Aave
Radiant Capital	Omnichain money market (LayerZero)	<\$5M (post-2024 exploit collapse, down >99% from ATH)	Closest conceptual competitor (cross-chain deposit-on-one-chain/borrow-on-another model), but suffered a major 2024 exploit that devastated its market cap and reputation — a cautionary comparison for cross-chain bridge/messaging risk that Folks Finance also carries via CCIP/Wormhole/CCTP dependencies
Euler / Curvance / others	Various lending-market challengers	Small-to-mid cap	Listed as direct competitors by third-party trackers (CB Insights); compete more on isolated-market risk design than on cross-chain reach

Folks Finance sits in the mid-to-small tier of the DeFi lending landscape by market cap, well below category leader Aave and roughly in line with or somewhat above other cross-chain-focused challengers. Its most distinctive positioning is as the incumbent, largest lending protocol on Algorand — a moat that is real but narrow, since Algorand's overall DeFi activity is small relative to Ethereum, its L2s, and newer high-throughput chains like Monad and Solana.

On the cross-chain thesis specifically, Folks Finance's closest conceptual peer is Radiant Capital, whose trajectory is a useful cautionary data point: Radiant pursued a similar deposit-on-one-chain, borrow-on-another model but was hit by a major cross-chain exploit in 2024 that collapsed its market cap by more than 99% and effectively ended its relevance. Because Folks Finance's xChain architecture depends on the same category of infrastructure — cross-chain messaging protocols (CCIP, Wormhole) and bridged liquidity pools — this is the single most relevant comparable risk case in the competitive set, not merely a market-cap benchmark.

The biggest structural threat to Folks Finance's differentiation is Aave itself: Aave V4, launched on Avalanche in mid-2026, is explicitly building toward native cross-chain infrastructure and tokenized-asset markets — the same territory Folks Finance has staked its identity on. Given Aave's order-of-magnitude larger liquidity, brand trust, and institutional relationships, a credible Aave cross-chain product would directly erode Folks Finance's primary differentiator. Folks Finance's moat, to the extent one exists, is therefore more about being first-to-market and operationally proven on cross-chain lending today, rather than a durable technical or liquidity advantage it can defend indefinitely.

10 RECENT NEWS & UPDATES

Date	Event
Jan 20, 2022	Closes \$3M Seed round led by Borderless Capital, with Coinbase Ventures, Jump Crypto, ParaFi Capital, OKX Ventures, Algorand Foundation participating
Nov 29, 2022	Launches Folks Finance V2 on Algorand, adding advanced financial tools to the existing lending suite
Dec 29, 2023	Selects LI.FI to enable DEX integrations for the cross-chain lending protocol
Jul 27, 2024	Avalanche integration announced to expand cross-chain lending reach
Sep 30, 2024	Launches natively cross-chain lending markets — reported to be months ahead of Aave's own V4 cross-chain rollout
Nov 14, 2024	Closes \$3.2M oversubscribed Series A led by Borderless Capital at a \$75M valuation, announced at Web Summit 2024; brings total funding to \$6.2M
~Nov 2024	Company-reported all-time-high TVL of ~\$400M across the protocol
Nov 4, 2025	FOLKS token listed on Binance Alpha and Futures markets ahead of TGE
Nov 6, 2025	FOLKS Token Generation Event; airdrop Season 1 claim window opens; 25.4% of total supply unlocked at launch; token hits all-time high (~\$49.13) amid thin float
Dec 8, 2025	'Folks Points: Season 2' campaign goes live with a new leaderboard and incentive structure
Dec 10, 2025	xChain V2 announced, scheduled for H1 2026, with \$10M+ in FOLKS token incentives allocated (~1M FOLKS)
Dec 12, 2025	Folks Finance TVL on Monad passes the \$10M milestone, driven by high FOLKS-denominated yields
Dec 16, 2025	Deadline for airdrop claimants to select instant vs. linear-unlock claiming method; 90-day linear unlock period begins for those who chose it
Jun 24, 2026 (reported)	FOLKS price reported to have jumped sharply (75.7% in one cited report) amid elevated trading volume, framed by some outlets as a shift from speculative to utility-driven demand
Aug 10, 2026 (snapshot)	FOLKS trading around \$1.77–\$1.86, market cap ~\$22M, down sharply from its November 2025 all-time high

The news timeline shows a team that has executed on a fairly consistent multi-year cadence: funding rounds roughly two years apart (2022, 2024), a major architectural pivot from single-chain to genuinely cross-chain lending in late 2024, and a token launch about a year after that pivot — a reasonably disciplined build-then-tokenize sequence compared to many projects that launch tokens well ahead of product maturity.

The most defining events are the September 2024 cross-chain lending launch (claimed to precede Aave's own V4 cross-chain rollout) and the November 2025 TGE. Since token launch, the pace of announcements has shifted toward incentive programs (Points Season 2, xChain V2 incentives, chain-specific TVL milestones) rather than net-new product categories — typical of a post-TGE protocol focused on driving usage and defending token price through emissions, which is worth weighing against the unlock-schedule dynamics discussed in Section 07.

11 INVESTMENT POTENTIAL & RISKS

BULL CASE

- + Multi-year operating history (since 2021) with a live, audited, revenue-generating protocol — not a pre-launch idea
- + Tier-1 venture backing (Coinbase Ventures, Jump Crypto, ParaFi Capital) across two funding rounds totaling \$6.2M disclosed
- + Genuinely differentiated hub-and-spoke cross-chain architecture solving real liquidity fragmentation, reportedly launched ahead of Aave's own V4 cross-chain rollout
- + Five independent smart contract audit firms plus an active Immunefi bug bounty — an above-average security posture
- + Deep, credible technology partnerships (Chainlink, Wormhole, Circle, Pyth) rather than superficial integrations
- + Largest DeFi protocol on Algorand, giving an entrenched incumbent liquidity base (~\$137M+ of current TVL)
- + Active, expanding ecosystem integrations (Ethena, Aethir, Treehouse, Kintsu, stake.link, Monad) showing continued developer and partner interest post-TGE
- + Public, named leadership team with multi-year continuity across funding rounds and product launches

BEAR CASE

- Token down more than 95% from its November 2025 all-time high, reflecting classic low-float/high-FDV post-TGE dynamics
- Roughly 60% of total supply remains outside current circulation, creating an ongoing structural unlock overhang through 2026–2027
- Cross-chain lending's closest conceptual competitor, Radiant Capital, lost over 99% of its market cap following a 2024 exploit — a direct cautionary precedent for the same architectural category Folks Finance operates in
- Heavy reliance on third-party bridge/messaging infrastructure (Wormhole, CCIP, CCTP) means Folks Finance inherits exogenous smart-contract and validator risk beyond its own codebase
- Current xChain (cross-chain) TVL is still a minority of total TVL versus the legacy Algorand deployment, suggesting the cross-chain growth story is earlier-stage than the marketing narrative implies
- Recent TVL growth on new chains (e.g., Monad) appears substantially incentive-driven, raising the risk of mercenary capital outflows once FOLKS emissions taper
- Aave, the dominant market leader with vastly greater liquidity and brand trust, is now actively building toward the same cross-chain positioning via Aave V4
- Founders' prior professional track record beyond Folks Finance itself could not be independently verified from the sources reviewed
- Moderate secondary-market liquidity (~6% daily turnover of market cap) means larger trades could move price materially

Risk Factor	Detailed Explanation
Cross-chain bridge/messaging risk	Dependence on Wormhole, Chainlink CCIP and Circle CCTP for core functionality means a critical vulnerability in any of these external systems could directly impact Folks Finance user funds, regardless of Folks Finance's own contract security.
Token unlock / dilution risk	With ~60% of the 50M max supply still to enter circulation via Community, Ecosystem Growth, Seed, Strategic and Core Contributor allocations, sustained sell pressure is a structural feature of 2026, not a one-off event.
Incumbent competitive risk	Aave's move into cross-chain infrastructure (V4) directly targets Folks Finance's core differentiator, backed by dramatically greater liquidity, users and brand trust.

Risk Factor	Detailed Explanation
Liquidity concentration risk	Over 85% of current TVL remains on the Algorand deployment; a decline in Algorand-ecosystem activity would disproportionately affect protocol-wide metrics even as the xChain narrative gets most of the marketing focus.
Incentive-driven growth risk	Recent TVL growth on newer chains (e.g., Monad) appears closely tied to FOLKS emissions and points programs; the durability of this liquidity beyond the incentive period is unproven.
Regulatory / structural risk	The protocol operates through a foundation/subsidiary structure (Folks Finance Private Foundation, Folks International Ltd, and a separately licensed interface operator, BLOCKBOX LLC) with explicit disclaimers that DeFi terminology used does not carry traditional regulatory meaning — a structure still subject to evolving global DeFi regulation.

NBZ RESEARCH VERDICT

Folks Finance is a legitimate, multi-year-operating DeFi protocol with real technical differentiation in cross-chain lending, credible tier-1 venture backing, and an above-average security and audit posture. It is worth attention as an infrastructure play on cross-chain liquidity rather than as a short-term momentum trade — the FOLKS token has already given back nearly all of its post-TGE gains, and the current price largely reflects a market pricing in continued dilution rather than fresh speculative demand. A durable bullish case requires three things happening together: xChain V2 shipping on schedule in H1 2026 and meaningfully growing genuine (not purely incentive-driven) cross-chain TVL; the protocol successfully diversifying liquidity away from its Algorand-heavy base; and FOLKS token utility (staking, fee capture, or governance value) growing fast enough to absorb the roughly 60% of supply still to unlock. The most critical risks are the unlock overhang through 2026-27, direct competitive pressure from Aave's own cross-chain buildout, and the inherited risk of third-party bridge and messaging infrastructure — a risk category that has already destroyed a close competitor, Radiant Capital, almost entirely. On balance, Folks Finance reads as a credible mid-tier DeFi infrastructure project with a real product and real backers, but one where the token's near-term price path is likely to remain supply-driven rather than demand-driven until xChain V2 proves itself in the data. Not financial advice.

SOURCES CONSULTED: docs.xapp.folks.finance · folks.finance · docs.folks.finance/folks-token/tokenomics · The Block · FinSMEs · Pulse2 · fintech.global · Nordic9 · PR Newswire/CNW (Folks Finance seed round announcement) · Messari · Bitget Academy · Edgen · DefiLlama (folks-finance, folks-finance-xchain) · Tracxn · Crunchbase · CoinMarketCap (CMC AI updates) · CoinGecko (Aave, Radiant Capital) · Coinbase · Kraken · CoinDesk (Radiant Capital) · Bybit · Gate Learn · user-supplied CoinMarketCap-style app screenshots (Folks Finance investor list, market stats, allocations, exchange markets, team page). Prices, TVL and market data are point-in-time snapshots as of August 10, 2026 and change continuously; verify current figures independently before making decisions.

NOT FINANCIAL ADVICE.